Canadian Tax & Accounting Resources for Small Businesses

7 Common CRA Audit Triggers Every Small Business Should Avoid

Many Canadian business owners are surprised when they receive a CRA review or audit request. While audits can happen randomly, certain reporting patterns tend to attract more CRA attention than others.

One common trigger is claiming unusually high vehicle expenses compared to business income. The CRA expects business-use mileage logs, fuel receipts, insurance records, and reasonable allocation between personal and business use.

Another issue is repeatedly reporting business losses year after year. While legitimate losses happen, the CRA may question whether the activity is truly commercial in nature.

Large home office deductions can also attract attention if they appear excessive compared to income earned. Business owners should ensure that the workspace is used regularly and exclusively for business purposes.

GST/HST reporting inconsistencies are another frequent audit trigger. If income reported on GST/HST returns does not match T1 or T2 filings, CRA systems may automatically flag the discrepancy.

Poor bookkeeping is one of the biggest problems during audits. Missing receipts, incomplete invoices, and unclear records make it difficult to support deductions claimed.

Business owners can reduce audit risks by maintaining organized records, using accounting software, separating personal and business expenses, and consulting a CPA before filing returns.

Incorporation vs Sole Proprietorship in Canada

One of the biggest decisions for entrepreneurs is whether to operate as a sole proprietor or incorporate their business. Each structure has different tax and legal implications.

A sole proprietorship is simple and inexpensive to operate. Business income is reported directly on the owner's personal tax return, making compliance relatively straightforward.

However, sole proprietors pay personal tax rates on all business income, which can become expensive as profits increase. In many provinces, top personal tax rates exceed 45%.

Corporations benefit from lower small business tax rates on active business income. In Canada, many incorporated businesses qualify for the small business deduction, which significantly reduces corporate taxes on the first portion of business income.

Incorporation also provides opportunities for tax deferral. If the owner does not need all profits personally, funds can remain inside the corporation at lower tax rates.

That said, corporations require annual corporate tax filings, bookkeeping, payroll administration, and additional legal compliance.

The right structure depends on business income levels, growth plans, liability concerns, and long-term financial objectives.

Top Tax Deductions Many Canadian Businesses Miss

Many business owners unknowingly overpay taxes because they fail to claim legitimate deductions available under CRA rules.

Business-use-of-home expenses are commonly overlooked. Entrepreneurs working from home may deduct a portion of utilities, internet, rent, property taxes, and home insurance based on workspace usage.

Professional development expenses such as accounting courses, industry seminars, and continuing education are often deductible when related to the business.

Cell phone expenses are another area frequently missed. The business-use portion of monthly mobile bills may qualify as a deductible expense.

Meals and entertainment are partially deductible when incurred for business purposes such as client meetings or networking activities. Generally, 50% of eligible meal expenses may be claimed.

Software subscriptions including QuickBooks, Microsoft 365, Adobe, payroll systems, and cloud storage services are normally deductible business expenses.

Keeping organized records throughout the year is essential to maximize deductions and reduce stress during tax season.

Rental Property Tax Guide for Canadian Landlords

Rental properties can provide strong long-term investment returns, but landlords should understand the related tax obligations and opportunities.

Rental income must be reported annually, and landlords may deduct eligible expenses such as mortgage interest, property taxes, insurance, utilities, repairs, and property management fees.

It is important to distinguish between repairs and capital improvements. Repairs restore a property to its original condition and are generally deductible immediately, while capital improvements are added to the property’s adjusted cost base.

Capital Cost Allowance (CCA) may allow landlords to defer taxes by claiming depreciation on the building portion of the property. However, claiming CCA can impact the principal residence exemption and may result in recapture upon sale.

Landlords should maintain proper documentation including lease agreements, receipts, bank statements, and mileage logs related to rental operations.

When a rental property is sold, capital gains tax may apply. Understanding adjusted cost base calculations, selling expenses, and recapture rules is important for accurate tax reporting.

Working with a CPA can help landlords structure their investments efficiently while remaining compliant with CRA requirements.

Need Professional Tax Advice?

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